



CIT Brief

At a Glance

Collateral



Incentives



Investment



Proposal Overview

The **Climate Incentives Trust (CIT)** proposal aims to expand global public funding for climate mitigation before 2050 and increase funding for loss and damage protection afterward. The proposed mechanism provides **insurance** against climate risks in exchange for sovereign commitments, **invests** in early-stage renewable energy projects, and **incentivizes** countries to reduce emissions. The trust, funded by donor countries and managed by the World Bank Group, creates nationally allocated beneficiary funds to mitigate long-term fiscal risks and mobilizes additional private investment. By lowering borrowing costs and leveraging national accounts as collateral, the CIT supports global climate goals while protecting countries from future climate-related disasters.



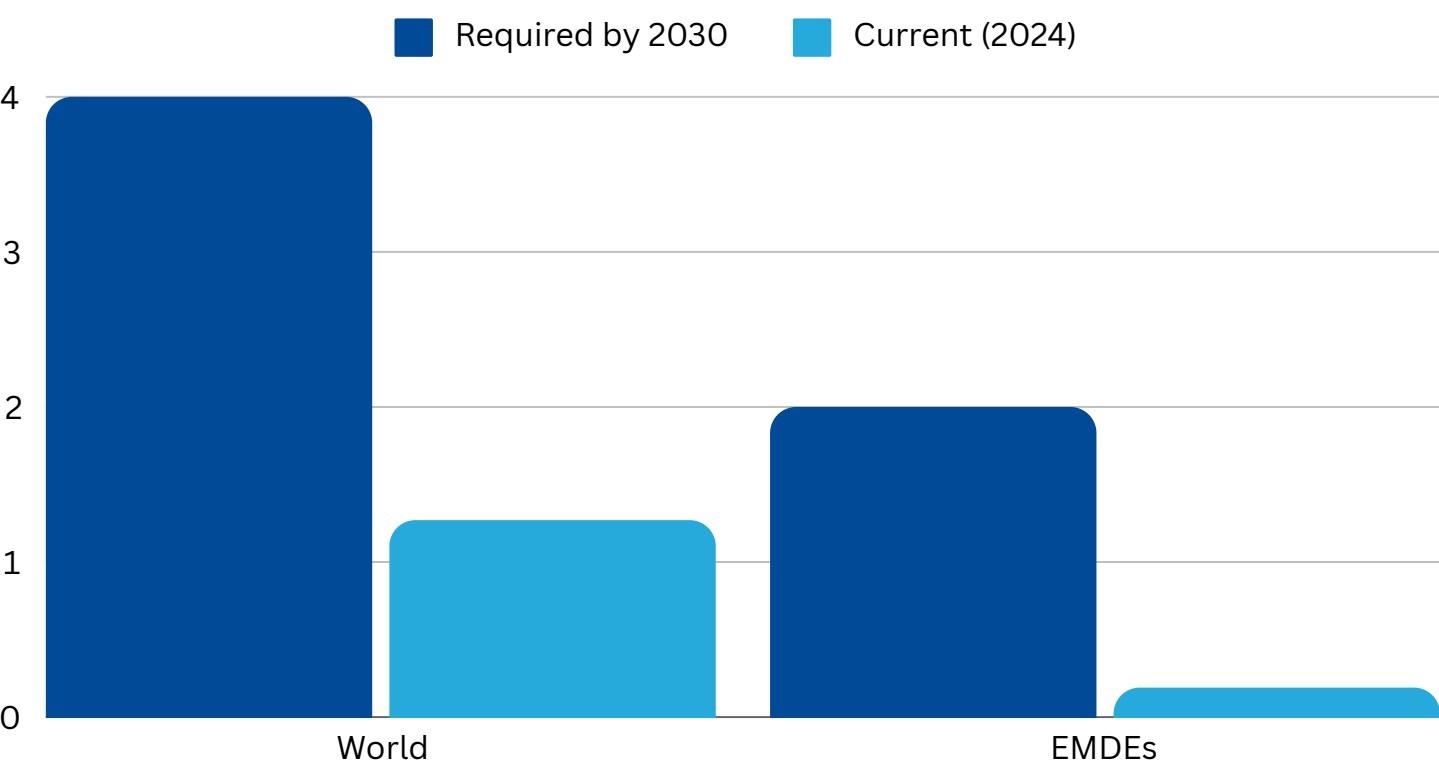
Key Issues to be Addressed

INCENTIVES FOR CLIMATE ACTION: Achieving global net-zero emissions necessitates coordinated national policy actions and increased investments in clean energy. Developing countries often grapple with the challenge of prioritizing development goals, which can sideline critical climate initiatives.

FINANCIAL SCALE: Ideally, any national government or municipality aiming for a swift transition to net zero (by 2050 or sooner) but struggling to attract significant private investment or access low-cost financing, should receive financial support from the World Bank or associated institutions. However, the availability of such funding remains limited.

RISK REDUCTION: To foster investment in green projects within developing countries, equity capital is essential to absorb risks that may deter investors, such as policy reversals or fluctuations in foreign exchange rates

Estimated Yearly Climate Investment Needs (trillion US\$)

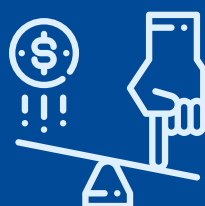


Sources: [Climate Policy Initiative \(2023\)](#); [IMF \(2023\)](#)

Stakeholders

Participant/ Recipient Countries	Emerging markets and developing economies facing difficulties in accessing affordable debt financing for their renewable energy transitions, as well as for research and innovation aimed at reducing global greenhouse gas (GHG) emissions. These countries receive risk protection to boost investment flows in the near term and can use national-scale accounts as collateral for borrowing related to climate change mitigation and adaptation. Post-2050, these countries will be the primary beneficiaries of the fund.
World Bank Group	The WBG manages the trust in accordance with its Trust Fund Policy (2021), ensuring both financial returns and meaningful climate impact.
Donors	Wealthy donor countries provide the initial funding for the trust. Donors also hold voting shares, giving them decision-making power within the trust.
Investors	Private investors are allowed to contribute to the trust but are required to pay a percentage of their investment returns as a fee. By de-risking investments in the early stages of projects in developing countries, the trust encourages greater private sector investment.

Implementation



Leverages debt financing to scale up investment in climate projects. This debt financing could come from various sources, including financial institutions, bonds, or other debt instruments.

Implements a profit-sharing mechanism to distribute returns generated from investments. These returns may be allocated to beneficiary accounts based on performance metrics.



Incorporates risk mitigation measures to protect investors and reduce the cost of capital. This may include insurance contracts, guarantees, or other financial instruments aimed at mitigating policy, financial, or project-related risks.

Collaborates with implementing agencies, initiatives, and financial institutions to leverage expertise and resources.



Designed for scalability and expansion. The establishment of regional ‘child’ funds and national-scale climate investment pension funds are key options for fund growth.

Additional Resources

Brief (This Document)

- Succinct overview of proposal.

[Long-form Paper](#)

- Describes the basis for the proposal.
- Outlines the financial summary.

[Technical Summary](#)

- Provides a detailed summary for the proposal.

Powerpoint

- Provides a short engaging overview of the issue and proposal for presentations.
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Links to Supplementary Material

[WBG Trust Fund Policy \(2021\)](#)

[IEA Report \(2021\)](#)

[IMF Resilience and Sustainability Trust](#)

Feedback/ Questions

This briefing paper is part of the Apollo II Project series by the Geoprosperty Team.

For further information or questions about this proposal or Geoprosperty's work, please feel free to reach out.

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